

As we saw earlier, this is a manifestation of the principle of small batches. Functional specialists, especially those steeped in waterfall or stage-gate development, have been trained to work in extremely large batches. This causes even good ideas to get bogged down by waste. By making the batch size small, the sandbox method allows teams to make cheap mistakes quickly and start learning. As we'll see below, these small initial experiments can demonstrate that a team has a viable new business that can be integrated back into the parent company.

Holding Internal Teams Accountable

We already discussed learning milestones in detail in [Chapter 7](#). With an internal startup team, the sequence of accountability is the same: build an ideal model of the desired disruption that is based on customer archetypes, launch a minimum viable product to establish a baseline, and then attempt to tune the engine to get it closer to the ideal.

Operating in this framework, internal teams essentially act as startups. As they demonstrate success, they need to become integrated into the company's overall portfolio of products and services.

CULTIVATING THE MANAGEMENT PORTFOLIO

There are four major kinds of work that companies must manage.³ As an internal startup grows, the entrepreneurs who created the original concept must tackle the challenge of scale. As new mainstream customers are acquired and new markets are conquered, the product becomes part of the public face of the company, with important implications for PR, marketing, sales, and business development. In most cases, the product will attract competitors: copycats, fast followers, and imitators of all stripes.

Once the market for the new product is well established,